UNIT 7

COMPANY ACCOUNTS

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Points to recall

The following points are to be recalled before learning company accounts:

- Joint stock company
- Double entry system

Learning objectives

To enable the students to

- Understand the statutory provisions regarding issue, forfeiture and reissue of shares.
- Understand the accounting treatment for issue, forfeiture and reissue of shares.

Key terms to know

- Preference shares
- Equity shares
- Over subscription
- Pro rata allotment
- Calls in advance
- Calls in arrear

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